YUVA INTERN | WEEKLY DELIVERABLE

Share Purchase Agreement and Negotiation Commentary

Hypothetical private-company share acquisition under Indian law

Prepared by: Liya Rose Siju
Institution: Colonel Central Academy
Programme: Yuva Intern — Legal Intern, Corporate Law Simulation
Jurisdiction: India
Status: Educational simulation; fictional facts clearly identified

Important: Fictional company details are not real audit findings. Verify current law, applicability and transaction facts before use or execution.

Important notice and transaction assumptions

This is a training draft only. All parties, facts and prices are fictional; it is not ready for execution. Buyer: Meridian Technologies Private Limited (fictional). Target: Aarohan Digital Solutions Private Limited (fictional). The buyer proposes to acquire 75% of the target's fully diluted equity shares for an illustrative INR 2,00,00,000, subject to due diligence, approvals and agreed closing conditions. Complete commercial details and obtain Indian legal, tax and accounting advice before signing.

1. Definitions and Sale

"Agreement" means this Share Purchase Agreement and its schedules. "Closing" means completion of the sale and purchase under this Agreement. "Encumbrance" includes a pledge, charge, lien, option or third-party right. "Sale Shares" means shares representing 75% of the target's fully diluted equity, with exact share numbers and class to be inserted in Schedule 1. Subject to conditions precedent, sellers agree to transfer the Sale Shares free from encumbrances, together with rights attaching to them from Closing. Review the articles, shareholders' agreements and transfer restrictions first.

2. Consideration and Conditions Precedent

The indicative purchase price is INR 2,00,00,000, allocated among sellers in Schedule 1 and paid by bank transfer at Closing against delivery of agreed documents. Closing conditions include completion of legal, financial, tax, employment, IP and contract due diligence; required corporate approvals and waivers; third-party and regulatory consents if applicable; absence of an injunction; and delivery of agreed title and closing documents. Any price adjustment or escrow must define accounting policies, review periods, dispute procedures and payment dates.

3. Representations and Warranties

Seller warranties may cover capacity and authority, title to shares, capitalisation, accounts and undisclosed liabilities, taxes, material contracts, litigation, employees, intellectual property, data practices, permits and compliance with law. A disclosure letter should identify exceptions precisely. Agree knowledge/materiality qualifiers, survival periods, caps and claim procedures carefully; do not use generic language where a known risk requires a specific solution.

4. Covenants and Closing

Between signing and Closing, the target should operate in the ordinary course and should not issue shares, incur unusual debt, dispose of material assets or enter material related-party transactions without agreed consent, except as permitted. At Closing, sellers deliver transfer documents, agreed certificates and releases; buyer pays the consideration; and the target updates records and completes applicable filings. Use a closing checklist and verify stamp duty, tax and any sector-specific approvals.

5. Indemnity, Confidentiality and Termination

The agreement should define losses covered by indemnity, notice periods, mitigation, exclusions for double recovery, de minimis/basket thresholds, caps, survival periods and treatment of fraud to the extent legally permissible. Confidential information must be protected subject to lawful disclosures. Termination may be permitted for an uncured material breach or failure to close by an agreed long-stop date, with accrued rights and surviving clauses preserved.

6. Governing Law and Dispute Resolution

The agreement is governed by Indian law. Parties first attempt good-faith negotiations between authorised senior representatives for 15 business days after notice. If unresolved, disputes proceed to arbitration under the Arbitration and Conciliation Act, 1996, as amended. For this simulation, proposed seat: New Delhi; language: English; one jointly appointed arbitrator, failing which appointment follows the Act. Complete these terms expressly and confirm enforceability and court jurisdiction with counsel.

Negotiation Commentary

Buyer priorities include clear warranties, access to records, conditions precedent, protection from undisclosed liabilities and a workable escrow/indemnity process. Seller priorities include payment certainty, reasonable caps, limited survival periods and precise claim thresholds. Both sides should agree a clear disclosure letter, realistic long-stop date, defined dispute process and closing checklist. Specialist advice may be needed for competition thresholds, foreign investment, tax and regulated sectors.

Legal References

Companies Act, 2013; Indian Contract Act, 1872; Arbitration and Conciliation Act, 1996; Competition Act, 2002, as amended, where applicable; applicable stamp legislation; and FEMA/rules if non-resident investment is involved. Official starting points: https://www.indiacode.nic.in/ and https://www.mca.gov.in/. This is a simulated draft and not ready for signature.